

ETHIOPIAN PAY-LATER PLATFORM

Business Requirements Document(BRD)

Business requirements and traceability baseline

Ethiopia-designed • Addis Ababa-first

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Document Control

Version	Date	Prepared By	Status	Summary
1.0	21 August 2026	Eleanor Tefera (Fintech)	Working baseline	Initial researched package release

Research Status Legend

VERIFIED	Directly supported by an official/primary source.
REPORTED	Supported by a reputable third-party source.
INFERENCE	Reasonable conclusion from available evidence.
ASSUMPTION	Design assumption for planning; not presented as market fact.
REQUIRES CONFIRMATION	Needs provider, bank, NBE, legal or business-partner confirmation.

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1. Purpose and Objectives

This BRD converts the approved business vision into testable business requirements. It defines what the business needs without prescribing detailed implementation code.

- Launch a safe Pay-Later pilot in Addis Ababa.
- Serve enterprise and small/local merchants.
- Use existing Ethiopian payment rails where confirmed rather than require a new wallet.
- Make first-time eligibility, merchant settlement, refunds and reconciliation operationally safe.
- Maintain regulatory flexibility because the final creditor/funder/licensing model remains a Phase-0 decision.

2. Business Problems

- Upfront affordability limits some purchases.
- Small merchants cannot safely operate informal credit at scale.
- Existing payment methods move money but do not automatically provide cross-merchant BNPL eligibility and installment servicing.
- Large and small merchants need different acceptance experiences.
- Fintech risk requires traceable money, identity and decisions.

3. Target Customers and Merchants

Segment	Need
Customers	Transparent, responsible installment access and one view of obligations.
Small/local merchant	Quick Sale/QR without POS or catalog.
SME retailer	Merchant app, branches, staff, refunds, settlements.
Enterprise retailer	POS/e-commerce connection, webhooks and reconciliation.
Credit/funding partner	Controlled origination/decision evidence, servicing data and risk controls.
Payment partner	Clear transaction references, reconciliation and compliant merchant use case.

4. Stakeholders

- Client/business sponsor
- Customers and merchants
- Credit/funding institution
- NBE/legal/compliance advisers
- Payment providers/gateways
- Finance and reconciliation operations
- Risk/fraud team
- Customer support
- Product/design/development/QA/DevOps

5. Business Requirements

ID	Requirement	Acceptance Evidence
BR-001	The platform shall register customers using a verified Ethiopian mobile number and OTP.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-002	The platform shall complete required KYC before any Pay-Later credit is activated.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-003	The platform shall treat identity verification and credit eligibility as separate decisions.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-004	A first-time customer shall receive a documented	Demonstrated in UAT, configuration, audit record

	first-time eligibility decision before any financed exposure.	and/or operating procedure as applicable.
BR-005	First-time outcomes shall support starter limit, transaction-only approval, higher down-payment offer, more information, manual review, decline and temporary block.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-006	Every purchase shall be subject to transaction-level risk/eligibility checks even when a customer has an available limit.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-007	Where a first payment is required, merchant release shall not occur until that payment is authoritatively SUCCESS.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-008	The platform shall support both large enterprises and small/local merchants.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-009	Small merchants shall be able to create Quick Sales without maintaining a catalog or POS.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-010	The platform shall support physical and online commerce.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-011	The platform shall support QR-assisted physical checkout, aligned where feasible with Ethiopian interoperability standards.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-012	The platform shall support multiple Ethiopian payment channels only where legal, commercial and technical capability is confirmed.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-013	No provider-specific API capability shall be represented as available without evidence or partner confirmation.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-014	Customers shall see all installment obligations in one platform regardless of supported repayment rail.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-015	Installment plans, down payments, frequencies and eligibility rules shall be configurable and versioned.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-016	Before acceptance, customers shall see purchase price, first payment, financed amount, installment schedule, fees and total payable.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-017	The platform shall support early/full repayment and optional partial prepayment according to product policy.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-018	The platform shall issue payment reminders and support safe retries.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-019	PENDING or UNKNOWN payment status shall never be treated as FAILED without authoritative evidence.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-020	The platform shall support full and partial refunds with installment and ledger adjustment.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-021	Merchant settlement shall be traceable from gross sale to net settlement and adjustments.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-022	Every money movement shall be represented by immutable financial records/double-entry ledger postings.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-023	Customers and merchants shall have defined dispute and complaint workflows.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-024	Complaint records shall preserve SLA evidence including NBE escalation timing where applicable.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-025	Merchants shall complete business verification and risk assessment before activation.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-026	Fraud controls shall cover duplicate identities, device abuse, account takeover, fake merchants, collusion and suspicious refunds.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-027	Overdue behavior shall trigger policy-driven reminders, restrictions and review; aggressive collection shall not be automatic.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-028	The system shall support hardship/manual arrangements and future restructuring subject to lender/legal policy.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-029	Privileged access shall follow least privilege, role separation and strong administrator controls.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-030	Important credit, financial, KYC, configuration and admin actions shall be auditable.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.

BR-031	Personal data shall be collected for defined purposes, protected and retained/deleted under Ethiopian requirements.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-032	The payment architecture shall remain provider-independent and support gateway, direct or hybrid integration strategies.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-033	Critical customer-facing content shall support English and Amharic for the Addis Ababa launch.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-034	Credit approval and payment authorization shall require online confirmation unless a separately approved risk model explicitly permits otherwise.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-035	Management shall receive reporting on GMV, active users/merchants, repayment, overdue, fraud, refunds, settlements and revenue.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-036	Fees shall be configurable; customer/late/financing charges shall not be enabled without legal/product approval.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-037	The legal creditor/funder/receivable owner shall be configurable by product/partner model rather than hard-coded as the platform company.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-038	Payment-provider strategy shall permit gateway-first MVP and selective direct integrations later.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-039	Terms, disclosures and consent acceptance shall be versioned and retained as evidence.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.
BR-040	The first production release shall use a controlled Addis Ababa pilot with limited merchants, limits and plans.	Demonstrated in UAT, configuration, audit record and/or operating procedure as applicable.

6. Business Process Overview

1. Onboard and verify customer.
2. Assess first-time eligibility and establish approved exposure/conditions.
3. Onboard and verify merchant.
4. Create purchase through enterprise checkout, merchant app, Quick Sale or QR.
5. Perform transaction decision and show responsible offer.
6. Collect required first payment and confirm authoritative outcome.
7. Release/confirm order and settle merchant under agreed model.
8. Service future installments across supported payment methods.
9. Handle overdue, refunds, disputes and fraud without deleting financial history.
10. Reconcile provider/bank/settlement records and report management metrics.

7. Core Business Rules

Rule	Business Rule
Eligibility	KYC verified does not equal credit approved.
First-time	No financed exposure without a first-time decision and supporting evidence/policy.
Checkout	Available limit is necessary but not sufficient; purchase must pass transaction decision.
First payment	PENDING/UNKNOWN cannot release goods when successful first payment is required.
Merchant	No active BNPL sales before merchant verification/approval.
Funds	Legal creditor/funder/settlement structure is partner/config driven.
Payments	Provider-specific capability is enabled only after validation.
Financial records	Never delete or silently overwrite posted financial history.
Complaints	Customer complaints are tracked with timestamps and escalation evidence.
Offline	Credit/payment authorization remains online by default.

8. Financial Requirements

- Use ETB with exact monetary representation.
- Trace gross sale, financed amount, down payment, fees, refunds, merchant payable, settlement and receivable.
- Use double-entry ledger or equivalent immutable balanced accounting records.
- Reconcile external provider/bank statements to internal records.
- Separate PENDING/UNKNOWN external status from final states.

9. Regulatory and Data Requirements

- Apply Ethiopian KYC/AML and financial-service obligations according to final business model.
- Apply Personal Data Protection Proclamation No. 1321/2024 and legal counsel interpretation.
- Do not import Qatar-specific limits, retention periods, fees or QCB requirements.
- Record consent/disclosure versions.
- Support evidence needed for consumer complaint management and regulatory escalation.

10. Reporting and Success Metrics

Metric	Why It Matters
GMV / financed amount	Commercial adoption and exposure.
Approval / decline / review rates	Risk policy and customer funnel.
First-payment success	Checkout quality/payment reliability.
On-time repayment / overdue rate	Core credit performance.
Fraud loss/alerts	Risk control effectiveness.
Merchant repeat rate	Merchant value.
Settlement failures	Operational quality.
Refund/dispute rate	Merchant/customer quality.
Complaint SLA	Consumer protection/service.
Reconciliation breaks	Financial integrity.

11. Assumptions, Constraints and Dependencies

Type	Item
ASSUMPTION	Pilot uses a regulated credit/funding arrangement rather than unvalidated self-lending.
CONSTRAINT	Provider APIs/sandboxes differ and may require commercial onboarding.
DEPENDENCY	NBE/legal decision on lender/credit owner/collections and licensing.
DEPENDENCY	Payment gateway/provider contracts and test credentials.
DEPENDENCY	Merchant pilot cohort and settlement bank accounts.
CONSTRAINT	Low connectivity and low-end Android devices must be considered.
REQUIRES CONFIRMATION	Fayda and credit-information access mechanisms for this product.

12. Business Acceptance Criteria

- A verified first-time customer can receive an explicit eligibility outcome without internal history.
- A small merchant can complete a Quick Sale without catalog/POS.
- A required first payment cannot activate purchase on PENDING/UNKNOWN status.
- Merchant settlement and refunds reconcile to financial records.
- Customers can see future installments and supported ways to pay.
- Support/admin can explain the recorded reason/status of a credit/payment/refund decision.
- No unconfirmed payment-provider capability appears as production-ready.

References

- **[ETH-NBE-01] VERIFIED National Bank of Ethiopia.** Payment Instrument Issuers / System Operators.
<https://nbe.gov.et/payment-instrument-issuers-system-operators/>
Supports: Current licensed/commercialized payment instrument issuers and payment system operators, including Telebirr, Kacha, M-PESA Ethiopia, EthSwitch, ArifPay, Chapa and SantimPay.
- **[ETH-NBE-02] VERIFIED National Bank of Ethiopia.** Financial Stability Report March 2026.
https://nbe.gov.et/wp-content/uploads/2026/03/Financial-Stability-Report_MARCH_2026.pdf
Supports: Current payment-sector regulatory framework, digital-finance context and systemic risk context.
- **[ETH-NBE-03] VERIFIED National Bank of Ethiopia.** National Digital Payments Strategy 2026–2030, Draft.
https://nbe.gov.et/wp-content/uploads/2025/12/Ethiopia_NDPS_Draft_F.pdf
Supports: Interoperability direction and digital-payment strategy context; document is a draft.
- **[ETH-NBE-04] VERIFIED National Bank of Ethiopia.** Financial Consumer Protection Complaint Handling.
<https://nbe.gov.et/fcpe/complaint/>
Supports: Complaint escalation after first contacting the financial service provider; NBE review where unresolved/no response within 10 business days.
- **[ETH-DP-01] VERIFIED Federal Democratic Republic of Ethiopia / Ministry of Justice.** Personal Data Protection Proclamation No. 1321/2024.
<https://justice.gov.et/en/law/personal-data-protection-proclamation/>
Supports: Ethiopian personal-data protection framework.
- **[ETH-QR-01] VERIFIED EthSwitch.** Interoperable QR Standard.
<https://ethswitch.com/wp-content/uploads/2024/12/Interoperable-QR-Standard.pdf>
Supports: Interoperable QR design direction for merchant payments and limitations of closed-loop QR.
- **[TEL-01] VERIFIED Ethio telecom.** Telebirr Developer Portal Getting Started.
<https://developer.ethiotelcom.et/docs/GettingStarted>
Supports: Publicly documented Telebirr business integration categories including C2B, B2B, H5, Mini App and subscription payment.
- **[TEL-02] VERIFIED Ethio telecom.** Telebirr H5 C2B Web Payment Integration.
<https://developer.ethiotelcom.et/docs/category/h5-c2b-web-payment-integration>
Supports: Public create-order, checkout, query/status, callback and refund integration documentation.
- **[TEL-03] VERIFIED Ethio telecom.** Telebirr Schedule Payment / CreateDisburseOrder.
<https://developer.ethiotelcom.et/docs/Schedule%20Payment/CreateDisburseOrder>
Supports: Public documentation for mandate-based scheduled deduction; BNPL repayment use requires commercial/regulatory confirmation.
- **[CBE-01] VERIFIED Commercial Bank of Ethiopia.** CBE Birr.
<https://combanketh.et/ways-of-banking/cbe-birr>
Supports: Official description of CBE Birr customer/mobile-money services.
- **[CBE-02] VERIFIED Commercial Bank of Ethiopia.** CBE Products and Services.
https://combanketh.et/cbeapi/uploads/CBE_Products_and_services_English_84e511c740.pdf
Supports: CBE Birr supports transfers, cash out, airtime, goods purchase and bill payment; no equivalent public direct BNPL integration specification verified.
- **[MPE-01] VERIFIED Safaricom Ethiopia.** M-PESA Ethiopia Merchant Terms / Business Use.
<https://www.safaricom.et/>
Supports: M-PESA Ethiopia supports merchant payments/business arrangements; exact BNPL API onboarding and sandbox require provider confirmation.

- **[QCB-01] VERIFIED Qatar Central Bank.** Buy Now Pay Later Regulation.
<https://www.qcb.gov.qa/Services/Financial%20Technology/QCB%20BNPL%20Regulation.pdf>
Supports: Qatar definition, eligibility and regulated BNPL-provider framework. Qatar law is not Ethiopian law.
- **[QTR-TC] VERIFIED PayLater Qatar.** PayLater General Terms and Conditions client-provided 20-page copy.
Client-provided PDF reviewed 21 August 2026
Supports: Customer/merchant/PayLater roles, eligibility, 25% first payment, PayMore, limits, repayment, default, restructuring, disputes, data handling and account rules.
- **[QTR-PL-01] VERIFIED PayLater Qatar.** PayLater Terms and Conditions.
<https://paylaterapp.com/terms-and-conditions/>
Supports: Current public PayLater Qatar contractual product model.
- **[QTR-PL-02] VERIFIED PayLater Qatar.** How can I sign up for PayLater?.
<https://help.paylaterapp.com/en/support/solutions/articles/154000139292-how-can-i-sign-up-for-paylater->
Supports: Phone OTP, QID capture and liveness-based customer onboarding.
- **[QTR-PL-03] VERIFIED PayLater Qatar.** What is my credit limit and how much can I spend?.
<https://help.paylaterapp.com/en/support/solutions/articles/154000139303-what-is-my-credit-limit-and-how-much-can-i-spend-with-paylater->
Supports: Credit limit uses creditworthiness, PayLater repayment history and account usage.
- **[QTR-PL-04] VERIFIED PayLater Qatar.** Where can I use PayLater?.
<https://help.paylaterapp.com/en/support/solutions/articles/154000139291-where-can-i-use-paylater->
Supports: Use across online and in-store merchants.
- **[QTR-CBQ-01] VERIFIED Commercial Bank Qatar / Vodafone Qatar.** Vodafone Easy-Buy / CBQ Buy Now Pay Later.
<https://www.vodafone.qa/en/buynowpaylater>
Supports: Bank-card installment model for online and selected physical stores; full purchase reduces card limit and customer repays equal monthly installments.
- **[QTR-VF-01] VERIFIED Vodafone Qatar.** Vodafone Partners with Commercial Bank to Offer BNPL.
<https://www.vodafone.qa/en/about-us/media/press-release/vodafone-partners-with-commercial-bank-to-offer-buy-now-pay-later-installment-plan>
Supports: Qatar device-installment model through bank partnership and merchant stores.